**UNITED STATES BANKRUPTCY COURT**
**MIDDLE DISTRICT OF GEORGIA**
**VALDOSTA DIVISION**

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| In re:<br><br>ALPHA PROTECTIVE SERVICES, INC.,<br>Debtor.<br>NEIL C. GORDON, as Trustee in Bankruptcy for Alpha Protective Services, Inc.,<br>Plaintiff,<br><br>v.<br><br>AMERICAN PAWN SHOP, INC., as an Initial Transferee or as Immediate Transferee;<br>ALPHA CONSULTING ENGINEERS, LLC, f/k/a ALPHA CONSTRUCTION & ENGINEERING, LLC f/k/a APS-AEC, LLC, as Initial Transferee or as conduit to American Pawn Shop, Inc.,<br>Defendants. | Bankruptcy Case No. 12-70482<br><br>Chapter 7<br><br>Adversary Proceeding No. 14-07017 |

**MEMORANDUM IN SUPPORT OF MOTION FOR FULL OR PARTIAL SUMMARY JUDGMENT AND FINAL JUDGMENT UNDER R. BANKR. P. 7054(A)**

COMES NOW Neil C. Gordon, as Trustee in Bankruptcy for Alpha Protective Services, Inc. (herein "Plaintiff" or "Trustee"), through counsel, and makes this Memorandum in Support of Motion for Full or Partial Summary Judgment and Final Judgment Under R.Bankr.Pro. §7054(a), and says the following:

# I. STATEMENT OF THE CASE

The Debtor filed a voluntary Chapter 11 bankruptcy case on April 12, 2012, and was converted to one under Chapter 7 on December 20, 2012. Neil C. Gordon was appointed as Trustee on the same date as the conversion. Trustee has bought an adversary proceeding against Defendant, American Pawn Shop, Inc. (herein "American Pawn" or "Defendant") for recovery of a certain sizeable payment as fraudulent preferential.

# II. STATEMENT OF THE FACTS[1]

The Debtor was subject to levy by creditors and could not use its regular banking accounts. It commenced using the banking accounts of another company for which it had a relationship, and used those accounts as a conduit to make its own payments in order to escape claims of creditors.

Debtor's President, Jeffrey Brinson (herein "Brinson"), made pawn tickets with Defendant in order to secure a debt in advance of $111,000.00, which was made on an emergency basis in order to make payroll, within days of bankruptcy case filing. The pawn tickets were all executed individually by Brinson, none were executed by the Debtor. All of the collateral, with the possible exception of a tractor and front-end loader of a nominal value of $10,000.00, belong to Brinson personally or to one of his other companies (a company other than the Debtor, Alpha Protective Services, Inc.). Alpha did not sign any document by which it agreed to lend any of its collateral to secure the debt owed to American Pawn.

The advance was made by American Pawn eight (8) days prior to case filing and was repaid three (3) days prior to case filing. It was repaid by a cashier's check showing Debtor as remitter. While the advance was in the amount of $111,000.00, the repayment was $122,875.00, which included finance charges of $11,875.00, which was a $2,000.00 discount

[1] A Statement of Material Facts as to Which There is no Genuine Issue has been filed and is not restated here. The text above includes a short recitation of the facts.

from finance charges of $13,875.00, which was the finance charges collectible under the terms of the pawn tickets.

The Debtor, Alpha, gave nothing of value to American Pawn in exchange for the payment, which went to the benefit of Brinson who had signed the pawn tickets, and his assets were put up as collateral.

By the Defendant's own admission, this was an extraordinary transaction and, if it could be characterized as a preferential payment, was on a debt not incurred in the ordinary course of business of the Debtor and was not an ordinary course of business payment.

Also, by Defendant's own admission, there are not facts to support the proposition that the Debtor was solvent at the time the payment was made.

## III. ISSUES OF THE LAW

The Trustee believes that this Motion states eight (8) discreet issues of law or mixed questions of fact and issues of law as follows:

1. Do the facts make out a prima facie claim for recovery of a fraudulent transfer in the amount of $122,875.00, as set forth in the motion for summary judgment and final judgment under R.Bankr.Pro. §7054 filed against this defendant? Trustee submits that this issue must be answered in the affirmative as a matter of law, as there was no obligation owed by the Debtor to American Pawn and nothing else given of value to American Pawn in exchange for the payment.

2. Alternatively, if the Court determines that the transfer was not fraudulent because there existed some obligation from defendant alpha to defendant American Pawn to pay $122,875.00, do the facts make out a prima facie claim for recovery of a preference in the amount set forth in the motion against the defendant and above? Trustee submits that this issue must be answered in the affirmative as a matter of law.

3. In the event that the Court determines that there was an enforceable obligation in favor of the Defendant and against Debtor, Alpha, was there any new value given to make out a contemporaneous exchange of value so that the transfer could be shielded as a contemporaneous exchange under 11 U.S.C. §547(c)(1)? Trustee submits that, as a matter of

law, there was not such value given and, therefore, no contemporaneous exchange for purposes of 11 U.S.C. §547(c)(1).

4. In the event that the Court determines that there was an enforceable obligation in favor of the Defendant and against Debtor, are there any facts that would support an ordinary course of business defense under 11 U.S.C §547(c)(2)? Trustee submits that this issue must be answered in the negative as the debt was an extraordinary debt and paid in an extraordinary way.

5. In the event that the Court determines that there was an enforceable obligation in favor of the Defendant and against Debtor, are there any facts that would support the extension of new value to the Debtor, prior to the filing of the bankruptcy case, such as would form the basis of a defense under 11 U.S.C. §547(c)(4)? Trustee submits that this issue must be answered in the negative as no new unpaid advances were extended prior to the filing of the bankruptcy case, so, as a matter of law, there can be no defense made out under 11 U.S.C. §547(c)(4).

6. Are there any other defenses, including the assertion that the claim is not "equitable," which would prevent award of the avoidance of the fraudulent transfer or preference as to this Defendant? Trustee submits that this issue must be answered in the negative.

7. Is the Trustee entitled to recover for the avoided transfer under 11 U.S.C. §550? Trustee submits that this must be answered in the affirmative as the Trustee is entitled to avoid and recover the value of the transfer under that Code section.

8. Should a "final judgment" be entered against the Defendant, but not against Defendant Alpha Consulting Engineers, LLC (herein "AEC")? Trustee submits that there is no just cause for delay in entering the final judgment against Defendant American Pawn, and that this issue must be answered in the affirmative.

# IV. ARGUMENT OF THE LAW

## A. Prima Facie Case is Established as a Fraudulent Transfer.

The prima facie case is made out for avoidance of the payment as a fraudulent transfer. 11 U.S.C. §548(a) succinctly sets up the prima facie case to be made by the Trustee in order to avoid a fraudulent transfer. This Code section states as follows:

> "(1) the trustee may avoid any transfer (including any transfer to or for the benefit of an insider under an employment contract) of an interest of the debtor in property, or any obligation (including any obligation to or for the benefit of an insider under an employment contract) incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, if the debtor voluntarily or involuntarily–
> (A) made such transfer or incurred such obligation with actual intent to hinder, delay, or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted; or
> (B)
> (i) received less than a reasonably equivalent value in exchange for such transfer or obligation; and
> (ii)
> (I) was insolvent on the date that such transfer was made or such obligation was incurred, or became insolvent as a result of such transfer or obligation;
> (II) was engaged in business or a transaction, or was about to engage in business or a transaction, for which any property remaining with the debtor was an unreasonably small capital;
> (III) intended to incur, or believed that the debtor would incur, debts that would be beyond the debtor's ability to pay as such debts matured; or

> (IV) made such transfer to or for the benefit of an insider, or incurred such obligation to or for the benefit of an insider, under an employment contract and not in the ordinary course of business."

Id. The Trustee makes his case out under §548(a)(1)(B) as a claim for recovery of a transfer for less than equivalent value made by a Debtor who is insolvent.

The payment in question was made by the Debtor within four (4) days of filing of the bankruptcy case. There was no consideration for the payment other than satisfaction of the debt owed, not by the Debtor, but by the Debtor's President, Brinson. The Debtor received no consideration at all.

While there is no presumption of insolvency, the Defendant freely admits that there is no evidence to put forth that the Debtor was solvent and, four (4) days after the payment was made when the Debtor filed bankruptcy, the Debtor's schedules show a balance sheet lack of solvency in an amount in excess of $4 million.

While the Trustee's review of the schedules suggested that this was a repayment of an obligation owed by the Debtor and, therefore, a preference, it simply was not. The Debtor did not owe anything to the Defendant American Pawn, so that the payment was simply a fraudulent transfer directly to Defendant American Pawn and for the benefit of the Debtor's President, Brinson, who was the account debtor.

There is no genuine issue of material fact to support any proposition other than that the transfer was avoidable against American Pawn as a fraudulent transfer.

## B. Prima Facie Case is Established for Avoidance as a Preference.

Alternatively, a prima facie case is made out for the avoidance of the payment as preferential.

If the Trustee is wrong in his contention that the payment was fraudulent, and the Defendant can create a basis for a legal conclusion that the Debtor was obligated to the Defendant, then the payment was preferential and avoidable under 11 U.S.C. §547(b).

11 U.S.C. §547(b) sets up the elements of the prima facie case for a preference avoidance. This code section provides as follows:

> "(b) Except as provided in subsections (c) and (i) of this section, the trustee may avoid any transfer of an interest of the debtor in property–
> (1) to or for the benefit of a creditor;
> (2) for or on account of an antecedent debt owed by the debtor before such transfer was made;
> (3) made while the debtor was insolvent;
> (4) made –
> (A) on or within 90 days before the date of the filing of the petition; or
> (B) between ninety days and one year before the date of the filing of the petition, if such creditor at the time of such transfer was an insider; and
> (5) that enables such creditor to receive more than such creditor would receive if–
> (A) the case were a case under chapter 7 of this title;
> (B) the transfer had not been made; and
> (C) such creditor received payment of such debt to the extent provided by the provisions of this title."

The Supreme Court has made a simple expression of what a preference is when it said that a preference is "a transfer that enables a creditor to receive payment of a greater percentage of his claim against the debtor than he would have received if the transfer had not been made and he had participated in the distribution of the assets of the bankrupt estate." Union Bank v. Wolas, 502 U.S. 151, 160-161, 112 S.Ct. 527, 533 (1991). The idea behind preference avoidance is to prevent creditors from "racing to the courthouse to dismember the debtor during the slide into bankruptcy" and "facilitate the prime bankruptcy police of equality of distribution among creditors of the debtor." Wolas, 502 U.S. 161, 112 S.Ct. 533 (1991). In the instant case, the Defendant was a company owned by a friend of the Debtor who had made an advance to the Debtor's principal to help cover company payroll, and was paid back immediately prior to case filing. This is exactly the type of transaction to which the Supreme Court was talking about in Wolas, and to which 11 U.S.C. §547 is directed.

Defendant does not deny that payment was made by the debtor and there was an antecedent debt, although Trustee submits that Defendant cannot prove the debt was owed by the Debtor.

Defendant can offer no evidence that the debtor was solvent three days prior to the filing of its bankruptcy case, and therefore cannot make an issue of solvency. Debtor is presumed insolvent for preference purposes.

The Defendant attempts to assert that the Trustee has failed to make out his prima facie case because he cannot establish an improvement of position because the debt was secured. The debt was secured, but it was not a debt of the Debtor and it was not secured by the Debtor's collateral. To the extent that there was an attempt to secure the debt with collateral belong to the Debtor, that attempt fails.

A security interest attaches to collateral when it becomes enforceable against the Debtor with respect to the collateral. Ga. Code Ann. § 11-9-203(a). In order for a security interest to become enforceable, several conditions must be met. Ga. Code Ann. § 11-9-203(b).

First, value must be given. Ga. Code Ann. § 11-9-203(b)(1), see also § 11-1-204 (definition of "value").

Second, Debtor has rights in the collateral or the power to transfer rights in the collateral to a security party. Ga. Code Ann. § 11-9-203(b)(2). According to the UCC Comment for § 11-9-203(b)(2), "a security interest attaches only to whatever rights a debtor may have, broad or limited as those rights may be." Id., Comment 6; see also ("it was necessary for [the debtor] to have 'rights' in the property before the security interest attached.") Babson Credit Plan, Inc. v. Cordele Prod. Credit Ass'n, 146 Ga. App. 266, 271, 246 S.E.2d 354, 358 (1978).

Third, the Debtor has an authenticated valid security agreement; if the collateral is not a certificated security, it is the possession of the secured party; if the collateral is a certificated security, the certificate is in the possession of the secured party; if the collateral is deposit accounts, chattel paper, letter of credit rights, or electronic documents, it is in the possession of the secured party. Ga. Code Ann. § 11-9-203(b)(3).

Applying these prerequisites to the Alpha case, there is no security interest attached to property owned by Alpha.

First, Alpha did not receive value for the security interest given in its collateral. It failed to receive a binding commitment to extend credit, a security itself, delivery of a purchase, or any consideration to support a simple contract to qualify as "value" under § 11-1-204.

Second, Debtor did not have rights in the collateral or the power to transfer rights in the collateral to a security party, which almost all belonged to Brinson. Defendant's best argument would be that Brinson was acting as agent of Debtor under Ga. Code Ann. § 10-6-2 (West). However, the president of a corporation cannot generally borrow money on behalf of the corporation, and no loan is binding when the corporation received none of the proceeds of the loan. Farmers' & Merchants' Bank of Toccoa v. Stovall Inv. Co., 50 Ga. App. 277, 177 S.E. 882 (1934).

Third, Alpha did not authenticate the security agreement. See, First Nat. Bank of Atlanta v. C. & S. Concrete Structures, Inc., 128 Ga. App. 330, 196 S.E.2d 473 (1973). To the extent collateral (a tractor and front-end loader, worth $10,000.00 on a $111,000.00 debt) did belong to Debtor Brinson, he individually lacked the ability to pledge it and Debtor never signed anything that would answer to the description of a security agreement.

# V. CONCLUSION

In conclusion, with respect to the claims for which summary judgment was sought, there exists no genuine issue of material fact, and the Trustee is entitled to summary judgment under 11 U.S.C. 548 or under 11 U.S.C. §547. If summary judgment is granted, avoiding the transfers, then the Trustee is entitled to recovery against Defendant American Pawn and a final judgment against Defendant American Pawn for the value of the transfer under 11 U.S.C. §550(a) and under R.Bankr.Pro. 7054 (Fed.R.Civ.Pro. 54(b)).

Respectfully submitted this 20th day of November, 2015.

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